# AS

# ECONOMICS

## 7135/2

### Paper 2 – The National Economy in a Global Context

## Practice Paper 3 (Hard)

## Mark scheme

Practice mark scheme (in the style of June 2024)

This mark scheme follows the same structure and principles as the AQA June 2024 mark scheme for AS Economics Paper 2 (7135/2). It is intended for use with the matching practice question paper.

### Level of response marking instructions

For extended-answer (10 and 25 mark) questions, examiners should use the level-of-response grids shown for each question. Start at the lowest level and use it as a ladder until the answer matches the descriptor for a level. Apply a best-fit approach where an answer covers different aspects of different levels.

## Section A – Key list

The following list indicates the correct answers used in marking students' responses.

| Q | Answer |
|---|---|
| 1 | **C** (stagflation.) |
| 2 | **B** (1.74) |
| 3 | **A** (rise unless the deficit falls below 3% of GDP.) |
| 4 | **B** (a new equilibrium with the same output as initially, but a higher price level (SRAS shifts leftward).) |
| 5 | **B** (Central banks may need to act pre-emptively before inflation becomes evident.) |
| 6 | **B** (improve the current account because the sum of elasticities exceeds 1 in absolute terms.) |
| 7 | **A** (£28,571) |
| 8 | **B** (The rate of unemployment associated with full employment of available labour, excluding cyclical unemployment) |
| 9 | **B** (a fall in commercial banks' reserves and upward pressure on long-term yields.) |
| 10 | **B** (in the long run, the trade-off between inflation and unemployment disappears as expectations adjust.) |

| Q | Answer |
|---|---|
| 11 | **C** (Successful structural reforms that raise labour force participation and capital deepening) |
| 12 | **A** (£30 billion) |
| 13 | **B** (the current account deficit equals the sum of private and public sector deficits in saving.) |
| 14 | **B** (Growth refers to increases in productive capacity; development additionally encompasses health, education and inequality) |
| 15 | **C** (targeted supply-side measures alongside cautious demand management.) |
| 16 | **A** (short-run cyclical shocks may permanently lower an economy's productive potential.) |
| 17 | **B** (2.5%) |
| 18 | **B** (Consumers, anticipating future tax rises to service deficit-financed spending, save the tax cut rather than spend it) |
| 19 | **A** (a positive output gap and rising demand-pull inflation, before adjusting back as SRAS shifts left.) |
| 20 | **B** (lower than under adaptive expectations because forward-looking wage and price-setting adjusts more quickly.) |

**Distribution of answers**: A: 5 | B: 9 | C: 4 | D: 2

## Levels of response grid – 25 mark questions

| Level / Marks | Descriptor |
|---|---|
| **Level 5**<br>**21–25 marks** | Sound, focused analysis and well-supported evaluation that: is well organised; shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors; includes good application of relevant economic principles to the given context; well-focused analysis with clear, logical chains of reasoning; supported evaluation throughout and in a final conclusion. |
| **Level 4**<br>**16–20 marks** | Sound, focused analysis and some supported evaluation; well organised; sound knowledge and understanding; some good application and use of data; some well-focused analysis with clear logical chains of reasoning; some reasonable, supported evaluation. |
| **Level 3**<br>**11–15 marks** | Some reasonable analysis but generally unsupported evaluation; focuses on relevant issues; satisfactory knowledge and understanding; reasonable application; reasonable analysis but may not be adequately developed; fairly superficial evaluation. |
| **Level 2**<br>**6–10 marks** | Fairly weak response with some understanding; some limited knowledge; limited application; limited analysis that may lack focus; attempted evaluation that is weak and unsupported. |
| **Level 1**<br>**1–5 marks** | Very weak response; little relevant knowledge and understanding; very weak application; attempted analysis is weak and unsupported. |

## Levels of response grid – 10 mark questions

| Level / Marks | Descriptor |
|---|---|
| **Level 3**<br>**8–10 marks** | Well organised; develops one or more key issues; sound knowledge and understanding; good application; well-focused analysis with clear logical chain; may include a relevant diagram. |
| **Level 2**<br>**4–7 marks** | Issues relevant to the question; reasonable knowledge and understanding (with some weaknesses); reasonable application; reasonable analysis but may not be adequately developed; may include a relevant diagram. |
| **Level 1**<br>**1–3 marks** | Very brief and/or lacks coherence; limited knowledge with likely errors; very limited application; weak analysis lacking focus. |

# Section B – Context 1

### STAGFLATION RISKS AND POLICY DILEMMAS IN THE UK

**Question 2 1** Define 'stagflation' (Extract B, line 1).

**[3 marks]**

| Level | Response | Max |
|---|---|---|
| 1 | A full and precise definition is given. | 3 marks |
| 2 | The substantive content of the definition is correct, but there may be some imprecision. | 2 marks |
| 3 | Some fragmented points are made. | 1 mark |

**Examples worth 3 marks:**

• A macroeconomic condition characterised by the simultaneous occurrence of high inflation, slow or negative real GDP growth, and elevated unemployment.

• A combination of stagnation (low growth) and inflation occurring at the same time in an economy.

**Examples worth 2 marks:**

• Inflation combined with low growth.

• When prices are rising but the economy is not growing.

**Examples worth 1 mark:**

• High inflation.

• A bad economy.

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**Question 2 2** Using Extract A, calculate the percentage point change in CPI inflation between 2021 and 2022, and the percentage change in real GDP growth between 2021 and 2023.

Give your answers to one decimal place where appropriate.

**[4 marks]**

**Calculation:**

CPI inflation: 9.1% - 2.6% = 6.5 percentage points (increase).
Real GDP growth: ((0.1 - 7.6) / 7.6) × 100 = -7.5/7.6 × 100
= -98.68% ≈ -98.7% (a fall of 98.7%) to one decimal place.

| Response | Marks |
|---|---|
| Both correct: +6.5 percentage points AND -98.7% | 4 marks |
| One value fully correct, the other with a minor error (e.g. wrong rounding, missing units) | 3 marks |
| Both values approximately correct but with major errors (e.g. % vs percentage points confusion in CPI; or wrong base year) | 2 marks |
| Correct method stated for one or both calculations; or one calculation fully correct only | 1 mark |

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**Question 2 3** Use Extract A to identify two significant points of comparison between CPI inflation and Bank Rate over the period shown.

**[4 marks]**

Award up to **2 marks for each** significant point of comparison made.

| Response | Marks |
|---|---|
| Identifies a significant point of comparison; accurate use of data; unit of measurement given accurately. | 2 marks |
| Identifies a significant point of comparison but only one piece of data is given when two are needed; or no/wrong unit; or wrong date. OR identifies a significant feature of one data series with accurate data but no comparison is made. | 1 mark |

**If more than two significant points of comparison are identified, reward the best two.**

**Significant points include:**

• CPI inflation peaked at 9.1% in 2022, the same year Bank Rate began rising rapidly (to 3.50% year-end), demonstrating the lagged tightening response.

• Bank Rate reached its peak of 5.25% at end-2023, by which time CPI inflation had already fallen to 7.3% from its 2022 peak.

• Between 2020 and 2023, CPI inflation rose by 6.4 percentage points (0.9% to 7.3%), whereas Bank Rate rose by 5.15 percentage points (0.10% to 5.25%).

• By 2024, CPI had fallen sharply to 2.6% (close to the target) while Bank Rate had only modestly eased to 4.75%, illustrating cautious monetary policy easing.

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**Question 2 4** Extract B (lines 4-5) refers to multiple supply-side shocks contributing to the inflation surge.

Draw an AD/AS diagram to show the most likely combined effect of a negative supply-side shock and a contractionary monetary policy response on the macroeconomy.

**[4 marks]**

Correct diagram: AD/AS showing the COMBINED effects of (i) a leftward shift in SRAS (negative supply-side shock) AND (ii) a leftward shift in AD (contractionary monetary policy). Result: real output falls (clearly), while the price level effect is ambiguous - typically shown as roughly unchanged or slightly higher, depending on the relative magnitudes of the shifts. Both shifts must be shown with original and new equilibrium points labelled. All axes and curves correctly labelled.

| Response | Marks |
|---|---|
| Accurately drawn AD/AS diagram showing the correct shift, with original equilibrium (P■Y■) and new equilibrium (P■Y■); both axes, all curves and coordinates labelled. | 4 marks |
| Accurately drawn diagram with the correct shift but one label/coordinate missing. | 3 marks |
| Accurately drawn diagram with the correct shift but two or more labels/coordinates missing. | 2 marks |
| Accurately drawn AD/AS diagram showing initial equilibrium with both axes, both original curves and both original coordinates (P■Y■) labelled, but no shift. | 1 mark |

**Notes:** Horizontal axis labels accepted: ‘Real GDP’, ‘Real output’, ‘Output’, ‘Y’, ‘RNO’, ‘NI’, ‘National output’. Do not reward ‘Quantity’ or ‘Q’. Vertical axis labels accepted: ‘Price Level’, ‘PL’, ‘Inflation’, ‘£’. Do not reward ‘Price’ or ‘P’.

**Question 2 5** Extract C (lines 11-13) refers to the role of expectations and credibility in determining the cost of restoring price stability.

Explain how the credibility of a central bank's inflation target may affect the cost of reducing inflation.

**[10 marks]**

Apply the 10-mark levels grid above.

**Relevant issues include:**

• Definition of central bank credibility, inflation expectations, sacrifice ratio

• Mechanism: if agents believe the inflation target, they incorporate 2% (not higher) into wage and price decisions

• This anchors inflation expectations, dampening the wage-price spiral

• Forward-looking (rational) expectations vs adaptive expectations

• Sacrifice ratio: amount of output lost per 1 percentage point reduction in inflation

• Credible disinflation can be achieved with lower output cost

• Loss of credibility (e.g. through monetary financing, political interference) raises the sacrifice ratio

• Communication and forward guidance as tools to build credibility

• Empirical examples - Volcker disinflation (USA, early 1980s); Bank of England independence (1997)

• Diagram could show SRAS shifts being moderated by anchored expectations

• Time inconsistency problem and the value of independence

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**Question 2 6** Extract B (lines 1-2) states that demand-management policies face a dilemma in stagflation. Extract C (lines 4-5) suggests an elevated role for supply-side policy.

Use the extracts and your knowledge of economics to evaluate the most appropriate policy response to mild stagflation in an advanced economy.

**[25 marks]**

Apply the 25-mark levels of response grid above. The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate’s response.

**Areas for discussion include:**

• Definition of stagflation; nature of supply-side shocks

• The policy dilemma: tight monetary policy reduces inflation but worsens output; loose policy supports growth but entrenches inflation

• Diagrammatic analysis of demand-side response (AD shifts) and supply-side response (SRAS/LRAS)

• Argument for prioritising inflation control (credibility, expectations anchoring)

• Argument for prioritising output (hysteresis risk, social cost of unemployment)

• Targeted fiscal support to protect vulnerable households without fueling overall demand

• Supply-side policies to shift LRAS rightward over time (Extract C)

• Constraints from high debt (Extract C: >100% of GDP; debt interest >£100bn)

• Importance of policy coordination - monetary, fiscal, and supply-side

• Role of inflation expectations and central bank credibility (Extract C)

• Lessons from 1970s stagflation vs 2020s conditions

• Risk of hysteresis if recession is too deep

• Distributional considerations - who bears the costs of disinflation

• Overall judgement: most economists favour a balanced approach prioritising credibility while using supply-side tools and targeted fiscal support

# Section B – Context 2

## UK FISCAL SUSTAINABILITY AND LONG-RUN GROWTH

**Question 2 7** Define 'budget deficit' (Extract D).

**[3 marks]**

| Level | Response | Max |
|---|---|---|
| 1 | A full and precise definition is given. | 3 marks |
| 2 | The substantive content of the definition is correct, but there may be some imprecision. | 2 marks |
| 3 | Some fragmented points are made. | 1 mark |

**Examples worth 3 marks:**

• The shortfall between government revenue (mainly from taxation) and total government expenditure over a given period, typically a fiscal year.

• The excess of public sector expenditure over public sector receipts in a given period.

**Examples worth 2 marks:**

• When government spending exceeds government revenue.

• The amount the government must borrow each year.

**Examples worth 1 mark:**

• Government overspending.

• Negative budget position.

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**Question 2 8** Use Extract D to calculate the percentage change in UK debt interest spending between 2019 and 2023.

Give your answer to one decimal place.

**[4 marks]**

**Calculation:**

Change in debt interest spending: £106.3bn - £48.6bn = £57.7bn
% change = (57.7 / 48.6) × 100 = 118.72% = 118.7% to one decimal place.

| Response | Marks |
|---|---|
| 118.7% (correct answer) | 4 marks |
| 118.7 (missing units); 118.72% (extra decimals); 119% (rounded wrong way) | 3 marks |
| Correct absolute change £57.7bn stated; correct method using wrong base year (e.g. using 2015) | 2 marks |
| Correct method stated only; £57.7 without units | 1 mark |

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**Question 2 9** Use Extract D to identify two significant points of comparison between UK public sector net debt (% of GDP) and trend real GDP growth over the period shown.

**[4 marks]**

Award up to **2 marks for each** significant point of comparison made.

| **Response** | **Marks** |
|---|---|
| Identifies a significant point of comparison; accurate use of data; unit of measurement given accurately. | 2 marks |
| Identifies a significant point of comparison but only one piece of data is given when two are needed; or no/wrong unit; or wrong date. OR identifies a significant feature of one data series with accurate data but no comparison is made. | 1 mark |

**If more than two significant points of comparison are identified, reward the best two.**

**Significant points include:**

• Public sector net debt rose substantially from 30.5% of GDP in 2000 to 100.2% in 2023 (an increase of 69.7 percentage points), whereas trend real GDP growth fell from 2.7% in 2000 to 1.0% in 2023.

• The two indicators have moved in opposite directions over the period: rising debt has coincided with falling trend growth - consistent with the view that debt accumulation may weigh on long-run growth potential.

• The most dramatic shifts in both indicators occurred around the 2008-2010 financial crisis: net debt rose from 42.0% to 71.3% of GDP, while trend growth fell from 2.5% to 2.1%.

• By 2023, net debt was over three times its 2000 level, while trend growth was less than half its 2000 rate.

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**Question 3 0** Extract F (lines 5-6) refers to supply-side policies including investment in education and training.

Draw an AD/AS diagram to show the most likely long-run effect of successful supply-side reforms on the macroeconomy.

**[4 marks]**

Correct diagram: AD/AS showing a RIGHTWARD shift in LRAS (and typically also a rightward shift in SRAS), with output rising in the long run (Y■ to Y■) and price level falling (or being lower than otherwise) at the new equilibrium. All axes, curves and equilibrium coordinates labelled.

| **Response** | **Marks** |
|---|---|
| Accurately drawn AD/AS diagram showing the correct shift, with original equilibrium (P■Y■) and new equilibrium (P■Y■); both axes, all curves and coordinates labelled. | 4 marks |
| Accurately drawn diagram with the correct shift but one label/coordinate missing. | 3 marks |
| Accurately drawn diagram with the correct shift but two or more labels/coordinates missing. | 2 marks |
| Accurately drawn AD/AS diagram showing initial equilibrium with both axes, both original curves and both original coordinates (P■Y■) labelled, but no shift. | 1 mark |

**Notes:** Horizontal axis labels accepted: ‘Real GDP’, ‘Real output’, ‘Output’, ‘Y’, ‘RNO’, ‘NI’, ‘National output’. Do not reward ‘Quantity’ or ‘Q’. Vertical axis labels accepted: ‘Price Level’, ‘PL’, ‘Inflation’, ‘£’. Do not reward ‘Price’ or ‘P’.

**Question 3 1** Extract E (lines 1-3) refers to the arithmetic of fiscal sustainability, in which the interest rate on debt compared with the nominal growth rate of GDP is critical.

Explain why a sustained rise in long-term interest rates may threaten the sustainability of government debt.

**[10 marks]**

Apply the 10-mark levels grid above.

**Relevant issues include:**

• Definition of fiscal sustainability and government debt servicing

• Mechanism: higher interest rates raise the cost of new and refinanced debt

• Particular UK vulnerability: ~25% of UK debt is index-linked (Extract E)

• Debt dynamics: if r > g (interest rate exceeds nominal growth), debt ratio rises absent a primary surplus

• Crowding out: higher debt interest reduces resources available for other spending (or requires higher taxes)

• Confidence effects: rising debt may push up risk premia, raising rates further

• Refinancing risk: rolling over debt at higher rates

• Extract D data: debt interest more than doubled £48.6bn (2019) to £106.3bn (2023)

• Long-term demographic pressures (Extract E: 4-5% of GDP more on healthcare and pensions)

• Potential need for fiscal tightening (austerity), which may further reduce growth

• Currency considerations - international borrowing in foreign currency exacerbates risk

• Diagrammatic support could show the AD effects of contractionary fiscal policy needed to stabilise debt

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**Question 3 2** Extract F (line 1) states that sustainable improvement in the UK fiscal position depends on raising the long-run growth rate.

Use the extracts and your knowledge of economics to evaluate the view that supply-side policies are the only effective way to ensure long-run fiscal sustainability in the UK.

**[25 marks]**

Apply the 25-mark levels of response grid above. The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response.

**Areas for discussion include:**

• Meaning of supply-side policies, fiscal sustainability, long-run growth

• Mechanism: higher long-run growth widens the tax base and lowers debt/GDP for any given deficit

• Specific supply-side policies: education and training, infrastructure, R&D;, planning reform (Extract F)

• Time lags - effects take years/decades to materialise; debt dynamics may worsen in the meantime

• Cost - many supply-side policies require government spending, may worsen short-run deficits

• Distinction between cost-cutting supply-side reforms (e.g. labour market deregulation) and investment-led reforms

• Alternative/complementary policies: fiscal consolidation (tax rises, spending cuts)

• Demographic pressures (Extract E) may overwhelm modest growth gains

• Demand-side considerations: contractionary fiscal policy may itself reduce growth

• Importance of credible policy framework (long-term commitments, independent institutions)

• Productivity puzzle since 2008 (Extract F: TFP growth <0.5% vs 1.5% pre-crisis)

• International examples - Germany's industrial strategy; US Inflation Reduction Act

• Risk of crowding out if supply-side spending is debt-financed

• Evaluation: supply-side is necessary but probably not sufficient on its own

• Overall judgement on the policy mix required for sustainability

## END OF MARK SCHEME